

CONFIDENTIAL

NATIONAL SECURITY COUNCIL
WASHINGTON, D.C. 20504

4329

June 13, 1998

ACTION

MEMORANDUM FOR SAMUEL R. BERGER

THROUGH: BILL COURTNEY/JOCK COVEY *JK*
FROM: J. NICHOLAS DOWLING/NEIL R. KINGSLEY *JD NRK*
SUBJECT: POTUS-Yeltsin Telcon

Memorandum and talking points for the President's telephone call with Yeltsin are attached at Tab I.

Concurrence by: Ki Fort *JK*

RECOMMENDATION

That you sign the memorandum at Tab I

Attachment

Tab I Memorandum to the President
Tab A Talking Points

DECLASSIFIED
E.O. 13526
White House Guidelines, May 16, 2017
By *VRC* NARA, Date *6/13/23*
2008-0994-F-3

CONFIDENTIAL

Reason: 1.5 (d)

Declassify On: 6/13/08

THE WHITE HOUSE
WASHINGTON

INFORMATION

MEMORANDUM FOR THE PRESIDENT

FROM: SAMUEL BERGER
Am Spely

SUBJECT: Telephone Call with Yeltsin on Kosovo

DECLASSIFIED

E.O. 13526

White House Guidelines, May 16, 2017

By VDENARA, Date 2/13/23

2008-0794-F-3

At President Yeltsin's request, you are scheduled to have a telephone conversation with him on Monday, June 15.

Kosovo. We and our European allies have sharply increased pressure on Milosevic to end indiscriminant violence and move toward peaceful resolution. In addition to new sanctions against assets, investments, and air travel, NATO Defense Ministers approved accelerated contingency planning an air exercise (currently scheduled for Monday) over Albania and Macedonia. (At the UN, the mandate for UN forces in Macedonia is about to be extended) while the UK sponsors a resolution under Chapter 7 authorizing "all necessary measures to restore international peace and security in the area."

Moscow continues to try to protect the Serbs from international pressure, arguing that Kosovo is an internal matter and opposing all economic sanctions and military measures. While there are signs they may now accept a UN extension in Macedonia, Primakov signaled last week that they will not support Chapter 7 authority as proposed by the UK.

Yeltsin's personal attention to Kosovo may be key to bringing Moscow along. Yeltsin's decision to summon Milosevic to Moscow came after his in-depth discussions of Kosovo with Kohl.

Yeltsin requested this call with you. It may be an opportunity to move Moscow toward the emerging international consensus for tougher action. Your objective is for Yeltsin to make clear to Milosevic that Russia will not protect him if he refuses to cooperate with Contact Group demands.

(insert)

CONFIDENTIAL

Reason: 1.5 (D)

Declassify On: 6/13/08

cc: Vice President
Chief of Staff

As you know, with the UK, with US + French support, are pushing

As you know, with the UK, with US and French support are pushing

*?
see military options in Kosovo and an
for military options in Kosovo and an*

Resolution

summary
Russian Financial Situation. Last week was another tough one for Russian markets. Treasury made a yeoman effort to bring along the rest of the G-7 to supporting additional conditional multilateral financing for Russia, if necessary—the position you enunciated two weekends ago. That was accomplished at last Wednesday's meeting of deputy finance ministers. Investors, however, remained jittery about Russia's financial situation, and markets tumbled sharply at mid-week. They were closed Friday for Russia's independence day. For the fifth straight week, Moscow had to dip into its foreign exchange coffers to cover maturing treasury bills at its weekly securities auction.

Meanwhile, Moscow and the IMF continued talks on an additional support package. The Fund issued a statement saying that the two sides were continuing an "intensive dialogue." The IMF Executive Board is due to meet this Thursday to consider disbursement of the next \$670 million tranche of Russia's Extended Fund Facility. If—as expected—the Board approves disbursement, another Fund mission will go to Moscow immediately to continue discussions on the conditionality for additional support.

This is likely to be another rocky week on Russian markets. Emerging market investors were spooked Friday when Tokyo announced that Japan's GDP in the first quarter of 1998 fell more than analysts had expected (with two consecutive quarters of economic contraction, Japan is now technically in recession). Moscow also faces a challenging T-bill auction this Wednesday, when a record amount of securities will be maturing. This means that the ruble will almost certainly remain under heavy selling pressure, increasingly the possibility that Russian monetary authorities will eventually have to accept some sort of forced devaluation. In your talk with Yeltsin, you should emphasize that foreign investors remain skittish about Russia, and that the best way to reassure them is to increase their confidence that they know what the real financial situation is.

Attachment
Tab A Talking Points

- The weekend after our last call, I made a public statement that I endorse more IMF and World Bank funding for Russia, if necessary. I asked Secretary Rubin to follow up with similar statements; he did and I think they have helped.
- My Treasury team has been working hard to build consensus among the G-7; they are in contact with the IMF every day.
- Your officials, led by Mr. Kiriyenko, have been emphasizing the reforms Russia needs to make, with or without more multilateral money. I think this is the right approach to building investor confidence.
- I understand your people are now engaged in intense discussions with the IMF on additional reforms that can be supported with additional money. Hope these discussions can be completed quickly and successfully.
- Also hope we will see more signals that your government firmly resolved to collect more taxes and keep spending in line with revenues. Your personal engagement more important than ever.
- My sense is that this will be a tough week for your financial markets; means public statements by government and central bank must be completely credible and transparent.
- If private money is to flow back into Russia, investors must believe that you have sound, effective policies in place and that they are being told what the real financial situation is.

DECLASSIFIED
E.O. 13526
White House Guidelines, May 16, 2017
By WJ NARA, Date 12/13/23
2008-0994-F3

POINTS TO BE MADE FOR
TELEPHONE CONVERSATION WITH
PRESIDENT BORIS YELTSIN

- Boris, very glad you called; not only important for us to discuss Kosovo, but wanted to talk to you Russia's financial situation, get your assessment of where things stand and update you on our views and how we see the days ahead.

Kosovo

- U.S. and Russia share the same goal in Kosovo: a peaceful, negotiated solution that provides autonomy for Kosovo within the FRY. But Milosevic's harsh policies will soon eliminate autonomy options, along with hopes for a peaceful solution.
- Milosevic is miscalculating very badly. His attempts to solve Kosovo problem by force will only lead to disaster for him, for the Serb people, and for the region.
- Milosevic has immense respect for you. He needs to hear from you that he must end indiscriminate violence now, and engage in genuine political dialogue. He needs to know no one can protect him from his mistakes.

add bullet on specific steps → We must avoid the mistakes of Bosnia - waiting too long. This is an area where U.S. and Russia can work as partners on a key European security issue, just as we have so successfully in Bosnia.

- NATO's role important to preserve stability in the region. NATO is making prudent and urgent preparations to deal with major deterioration or spillover of conflict. We hope this will not be necessary, but we must be prepared for the worst.
- Your support for the UN Security Council resolution on Kosovo will show our unity. I firmly believe Russia should be a full partner in the international effort to defuse this conflict, as you are in Bosnia.

Financial Situation

- Boris, wanted personally to assure you we've made a concerted effort to mobilize statements of support for Russia from other G-7 countries since we last talked.

~~CONFIDENTIAL~~

Reason: 1.5 (d)

Declassify On: 6/12/08

DECLASSIFIED
E.O. 13526
White House Guidelines, May 16, 2017
By 202 NARA, Date 12/13/23
2008-0994-F-3

Yeltsin hopes to use his meeting with Milosevic to forge a diplomatic resolution of the conflict, thereby proving that he can achieve the international community's goals without the use of force.

Your objective is to persuade Yeltsin to get Milosevic to commit to immediate, tangible steps (including an end to the violence, withdrawal of military forces, engaging seriously in political negotiations with the Kosovars) -and for Yeltsin to make clear to Milosevic that there will be serious consequences, including the possibility of force, if Milosevic continues on his present course. Our best hope is that if Milosevic makes commitments to Yeltsin and subsequently breaks them, Yeltsin will be more amenable to Security Council or NATO action.

course. Our best hope is that if Milosevic makes ^{specific} commitments to Yeltsin and subsequently breaks them, Yeltsin will be more amenable to Security Council or NATO action.

Russian Financial Situation. Last week was another tough one for Russian markets. Treasury made a successful effort to bring along the rest of the G-7 to supporting additional conditional multilateral financing for Russia, if necessary—the position you enunciated two weekends ago. Investors, however, remain jittery about Russia's financial situation, and markets tumbled sharply at mid-week. They were closed Friday for Russia's independence day. For the fifth straight week, Moscow had to dip into its foreign exchange coffers to cover maturing treasury bills at its weekly securities auction.

Meanwhile, Moscow and the IMF continued talks on an additional support package. The Fund issued a statement saying that the two sides were continuing an "intensive dialogue." The IMF Executive Board is due to meet this Thursday to consider disbursement of the next \$670 million tranche of Russia's Extended Fund Facility. If—as expected—the Board approves disbursement, another Fund mission will go to Moscow immediately to continue discussions on the conditionality for additional support.

This is likely to be another rocky week on Russian markets. Emerging market investors were spooked Friday when Tokyo announced that Japan's GDP in the first quarter of 1998 fell more than analysts had expected (with two consecutive quarters of economic contraction, Japan is now technically in recession). Moscow also faces a challenging T-bill auction this Wednesday, when a record amount of securities will be maturing. This means that the ruble will almost certainly remain under heavy selling pressure, increasingly the possibility that Russian monetary authorities will eventually have to accept some sort of forced devaluation. In your talk with Yeltsin, you should emphasize that foreign investors remain skittish about Russia, and that the best way to reassure them is to increase their confidence that they know what the real financial situation is.

Attachment
Tab A Talking Points

DECLASSIFIED
E.O. 13526
White House Guidelines, May 16, 2017
By 100 NARA, Date 12/13/23
2008-00014-F-3

FOIA MARKER

This is not a textual record. This is used as an administrative marker by the Clinton Presidential Library Staff.

Original OA/ID Number: 2043				
Document ID: 9804329				
Stack: V	Row: 45	Section: 5	Shelf: 4	Position: 2